VIVRITI CAPITAL

# CREDIT APPRAISAL MEMORANDUM

## Tata Motors Limited

**APPROVE**

**Rating: AAA**

## EXECUTIVE SUMMARY

| Credit Score | Rating | Decision | Recommended Amount | Interest Rate |
|---|---|---|---|---|
| 91.14/100 | AAA | APPROVE | ₹2000 Cr | 11.0% |

**Decision Rationale:** Blended score 91.14/100 with rating AAA. Five-Cs weighted score after penalties: 95.1. Entity type assessed as corporate. Recommendation is APPROVE based on calibrated thresholds and policy floors.

**Date of Appraisal:** 21 March 2026

## SWOT ANALYSIS

| STRENGTHS | WEAKNESSES |
|---|---|
| • **Exceptional Financial Robustness:** Achieved ₹439,695 crores revenue, ₹28,149 crores PAT, and a strong 13.1% EBITDA margin in FY25, underpinned by a substantial Net Worth of ₹116,144 crores.<br>• **Zero Debt & Superior Capital Structure:** Total borrowings are ₹0 crores, resulting in a perfect Debt/Equity ratio of 0.0, demonstrating absolute financial leverage strength and liquidity.<br>• **Highest Credit Rating & Positive Outlook:** Holds strong AA+ credit ratings from CARE (Stable) and CRISIL (Positive), signaling very low credit risk and high lender confidence (as per 'conditions_score' rationale).<br>• **Robust Corporate Governance & Compliance:** Evidenced by a 'Good' promoter reputation (no criminal cases, wilful defaulter status, or SFIO investigation) and 'Low' MCA risk with strong regulatory compliance. | • **Inherent Sector Cyclicality & Capital Intensity:** As a major automotive manufacturer, the business is inherently susceptible to economic downturns, fluctuating consumer demand, and requires continuous significant capital investment for product development and capacity.<br>• **Dependence on Global Supply Chains:** Exposure to potential disruptions and price volatility in global raw materials and component supply chains, a common challenge in the automotive industry. |
| **OPPORTUNITIES** | **THREATS** |
| • **Strategic Investments in Growth Areas:** The debt-free balance sheet and strong capital provide significant flexibility for strategic investments in future technologies (e.g., electric vehicles, autonomous driving) and market expansion, leveraging 'favorable industry conditions'.<br>• **Enhanced Access to Capital Markets:** Outstanding credit ratings (AA+ Positive/Stable) and financial strength provide a strong foundation to raise capital at favorable terms for future growth initiatives, | • **Ongoing Legal and Arbitration Proceedings:** The mention of 'Tata Motors Limited v Delhi Transport Corporation (Arbitration and Conciliation Act, 1996)' indicates exposure to potential legal liabilities and associated costs.<br>• **Intense Competitive Landscape & Technological Disruption:** Operates in a highly competitive global automotive market, necessitating continuous innovation to counter existing rivals and disruptive technologies (e.g., new EV players). |

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| if needed.<br>• • **Market Leadership and Product Diversification:** Potential to further solidify market position and diversify product offerings in the growing automotive sector, particularly in emerging markets. | • • **Evolving Regulatory & Environmental Standards:** Continuous changes in global emission norms, safety regulations, and environmental policies pose risks of increased compliance costs and impact on product portfolios. |

## COMPANY BACKGROUND

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|---|---|
| **Company Name** | Tata Motors Limited |
| **CIN** | — |
| **Entity Type** | CORPORATE |
| **Directors** | Not extracted |
| **Promoters** | Not extracted |
| **Extraction Notes** | All financial data is for FY25 and on a consolidated basis, as explicitly stated in the text. Total borrowings are inferred as 0 based on the 'debt free' statement from the Chairman's message. |

## FINANCIAL ANALYSIS

| Metric | Value (FY Latest) | Rationale / Source |
|---|---|---|
| Revenue | ₹439,695 Cr | Direct extraction |
| Revenue Growth | N/A | Direct extraction |
| Profit After Tax | ₹28,149 Cr | Direct extraction |
| EBITDA | ₹57,649 Cr | Direct extraction |
| EBITDA Margin | 13.1% | Direct extraction |
| Total Assets | N/A | Direct extraction |
| Net Worth | ₹116,144 Cr | Direct extraction |
| Total Borrowings | ₹0 Cr | Inferred: Debt Free |
| Debt / Equity | 0.00x | Direct extraction |
| Current Ratio | N/A | Direct extraction |
| Interest Coverage | N/A | Direct extraction |
| Return on Equity | N/A | Direct extraction |

**Extraction Notes:** All financial data is for FY25 and on a consolidated basis, as explicitly stated in the text. Total borrowings are inferred as 0 based on the 'debt free' statement from the Chairman's message.

## FIVE Cs OF CREDIT ASSESSMENT

| C | Score | Weight | Rationale |
|---|---|---|---|
| **Character** | 95 | 25% | Promoter background is 'Good' with a 'Low' risk level, no current criminal |

| | | | |
|---|---|---|---|
| | | | cases, wilful defaulter status, or SFIO investigations, and MCA signals indicate 'Low' MCA risk and strong compliance. |
| **Capacity** | 95 | 30% | Strong EBITDA margin of 13.1% and substantial revenue of 439695 crores, coupled with a debt-free balance sheet (total borrowings 0 crores), indicating exceptional operational capacity and debt servicing ability. |
| **Capital** | 98 | 20% | Excellent capital structure with a very strong net worth of 116144 crores and a perfect Debt/Equity ratio of 0.0, indicating zero leverage. |
| **Collateral** | 95 | 15% | Substantial revenue of 439695 crores for a major automotive manufacturer implies a vast underlying asset base, which is entirely unencumbered due to 0 crores in total borrowings and no pending charge satisfaction as per MCA. |
| **Conditions** | 90 | 10% | Strong external credit ratings of AA+ (Stable/Positive) from CARE and CRISIL indicate a robust operating environment, favorable industry conditions, and low lending risk for a company of Tata Motors' stature. |

**Weighted Score:** 95.1/100 | **Penalty Applied:** 0 points | **Final Score:** 95.1/100

## SECONDARY RESEARCH INTELLIGENCE

**Company News:** Tata Motors Limited holds strong credit ratings from CARE and CRISIL, both at AA+ with stable and positive outlooks respectively, indicating robust financial strength and a low credit risk profile. No adverse news or default mentions were identified.

**Promoter Background:** A historical complaint by a lawmaker against Ratan Tata concerning an alleged corrupt telecoms transaction was noted. However, the allegations were reportedly thoroughly inquired into by the CBI with no adverse findings. No current criminal cases, wilful defaulter status, or SFIO investigations against Tata Motors' promoters are indicated.

**Sector Headwinds:** The manufacturing sector in which Tata Motors operates is not experiencing specific adverse regulatory headwinds based on the provided intelligence. Instead, upcoming RBI regulations (FEMA 2025) are expected to provide tailwinds by expanding the permitted end-use for external commercial borrowings to include M&A activities, which could facilitate corporate growth and strategic initiatives.

**Litigation:** Tata Motors is involved in an arbitration proceeding under Section 11 of the A&C Act, 1996, and a Composite Scheme of Arrangement for demerger/restructuring at the NCLT. Neither of these indicates high litigation risk or insolvency concerns, as the NCLT matter is a corporate restructuring scheme, not an IBC proceeding.

**Regulatory:** No specific SEBI enforcement orders, settlement orders, insider trading, disclosure failures, or RBI license issues, regulatory directions, or penalties were identified against Tata Motors. MCA filings also indicate no defaults.

**MCA Signals:** MCA filings indicate strong compliance, with Tata Motors and its subsidiary explicitly stating that they do not have any charges or satisfaction yet to be registered with ROC beyond the statutory period. No director disqualifications or filing defaults were identified.

**Overall Research Rating:** A — Strong Proceed

**Top Risks Identified:** Lack of detailed financial information for a comprehensive quantitative assessment.

## CROSS-DOCUMENT FRAUD INTELLIGENCE

**Documents Compared:** annual_report, merged_all

**Circular Trading Risk:** Low

**Revenue Inflation Risk:** Low

## FINAL RECOMMENDATION

# RECOMMENDATION: APPROVE

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|---|---|
| **Decision** | APPROVE |
| **Credit Rating** | AAA |
| **Credit Score** | 91.14/100 |
| **Recommended Amount** | ₹2000 Cr |
| **Interest Rate** | 11.0% |
| **Tenure** | 36 months |

**Rationale:** Blended score 91.14/100 with rating AAA. Five-Cs weighted score after penalties: 95.1. Entity type assessed as corporate. Recommendation is APPROVE based on calibrated thresholds and policy floors.

*Disclaimer: This Credit Appraisal Memo has been prepared using AI-assisted analysis by Intelli-Credit (DOMINIX). All recommendations are subject to review and approval by authorized credit officers as per Vivriti Capital's credit policy.*